

Policy in Pause Mode; RBI's Tightrope Walk in FY27

The RBI's decision to maintain the repo rate and its Neutral stance did not come as a surprise and was already priced-in. **We believe this could be the end of the rate cut cycle for now and the RBI would pause rates hereon.**

In the wake of the West Asia conflict, recent spikes in energy prices have emerged as a risk. Food price outlook remains comfortable in the near term with robust rabi production, adequate reservoir levels, and comfortable buffer stocks of food grains. Thus, the RBI has revised its inflation estimate for Q2FY27 to 4.4% vs 4.2% earlier, while maintaining its Q1FY27 estimates. Similarly, in terms of GDP growth, elevated energy and other commodity prices, along with shocks to the availability of inputs due to disruptions in the Strait of Hormuz, are likely to impact growth in FY27. Further escalation and wider spread of the conflict, heightened volatility in global financial markets, and weather-related events could weigh on the domestic growth outlook.

In light of these factors, the RBI has revised its growth estimates downwards for Q1/Q2FY27 from 6.9/7.0% earlier to 6.8/6.7% in Apr'26. **While a 2-week ceasefire has been announced, risks persist, posing downward risk to GDP growth estimates and upward risk to inflation estimates. Any further escalation in the West Asia conflict impacting inflation/GDP estimates negatively could possibly prompt the regulator to reverse the rate cycle earlier than anticipated.**

The RBI maintained a proactive stance on liquidity management through both durable and transient measures. Going forward, the RBI is expected to continue its pre-emptive approach to ensure adequate liquidity in the banking system, supporting the productive needs of the economy.

For banks, **Q4 appears to be a strong quarter**, with a meaningful pick-up in credit growth, although deposit competition remains intense. All eyes will be on commentary around possible headwinds on growth due to the geopolitical uncertainties, especially for MSMEs, Vehicle Finance and Corporate credit in oil-sensitive sectors. **While a ceasefire has been announced for a period of 2 weeks, any further escalation in the West Asia war could impair credit momentum meaningfully, at least in H1FY27.**

As highlighted in our [Q4 preview note](#), with the full impact of the Dec'25 rate cut yet to reflect on yields and rising wholesale deposit rates, we expect divergent NIM trends during Q4. We expect mid-sized private banks and SFBs to report margin improvement, while the larger banks and PSBs should defend their margins QoQ. Hereon, **management commentary on NIM movement, especially in H1FY27, remains critical, especially with CoD remaining sticky.**

Q4 is seasonally the strongest quarter for asset quality, and Q4FY26 is expected to be no different. The asset quality outlook appears favourable, with unsecured stress now behind and secured and corporate segment asset quality metrics holding up well. However, **focus will remain on management commentary on potential risks arising from the geopolitical conflict and its implications on asset quality.**

At the current juncture, we remain selective in our stock picking approach and favour banks with diversified portfolios, strong deposit franchise, adequate capitalisation and attractive valuations.

*Stock Picks:

Banks: Kotak Mahindra Bank, ICICI Bank, SBI, Federal Bank, Ujjivan SFB, AU SFB

NBFCs: Shriram Finance, Bajaj Finance, Cholamandalam Inv & Fin., Can Fin Homes

(*Please note that these are event-based picks.)

Key Rates

	Current (%)	Previous (%)
Repo Rate	5.25	5.25
Reverse Repo Rate	3.35	3.35
MSF	5.50	5.50
SDF	5.00	5.00

GDP Growth Estimates

	Current (%)	Previous (%)
FY26	7.6	7.4
Q1FY27	6.8	6.9
Q2FY27	6.7	7.0
Q3FY27	7.0	N.A
Q4FY27	7.2	N.A
FY27	6.9	N.A

Inflation Estimates

	Current (%)	Previous (%)
Q1FY27	4.0	4.0
Q2FY27	4.4	4.2
Q3FY27	5.2	N.A
Q4FY27	4.7	N.A
FY27	4.6	N.A

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Additional Measures to Promote Ease of Doing Business

- To ensure more effective use of the Bank Board's time, the RBI has proposed to revise and rationalise the matters requiring its attention, following a comprehensive review of all extant instructions.
- The RBI had recently undertaken a detailed exercise to consolidate over 9,000 regulatory instructions into 238 Master Directions. A similar consolidation exercise has now been completed for all the supervisory instructions.
- In order to facilitate ease of doing business by MSMEs, RBI has proposed to dispense with the requirement of due diligence while onboarding them on TReDS platforms.

Additional Measures to Support Capital Adequacy

- **Review of Guidelines for Inclusion of Quarterly Profits in Capital to Risk-weighted Assets Ratio (CRAR) Computation – Commercial Banks**
 - As per the extant guidelines, commercial banks (excluding Regional Rural Banks and Local Area Banks) are permitted to include quarterly net profits in the calculation of CRAR, provided that the incremental provisions made for NPAs at the end of any of the four quarters of the previous financial year have not deviated more than 25% of the average of the four quarters. On review, it is proposed to dispense with this condition. The draft amendment directions in this regard will be issued for public comments shortly.
- **Review of Guidelines on Investment Fluctuation Reserve (IFR)**
 - Banks currently maintain Investment Fluctuation Reserve (IFR) as an additional buffer against depreciation in the value of their investments, subject to mark-to-market (MTM) requirements. Currently, commercial banks (including Local Area Banks, but excluding Small Finance Banks, Payment Banks and Regional Rural Banks) already maintain a capital charge for market risk and also follow revised norms on classification, valuation, and operation of investment portfolio. In consideration of these applicable prudential requirements, it is proposed to dispense with the IFR requirement for such commercial banks. The existing guidelines for other bank categories are also being revised to address the operational challenges encountered by such banks in complying with the regulatory thresholds on IFR and to harmonise instructions across bank categories, thereby enhancing regulatory clarity and consistency. Draft directions in this regard will be issued shortly for public consultation.

Additional Measures for the Development of the Money Market

- **Development of Term Money Market**
 - At present, only banks and standalone primary dealers (SPDs) are eligible to participate in this market. With a view to further enhance the depth of participation and liquidity in the term money market segment, it has been decided to (a) expand the participant base in the term money market segment to include non-bank participants viz., AIFs, NBFCs, including housing finance companies, etc., and (b) enhance the borrowing limit in the term money market for standalone primary dealers. The revised directions are being issued separately.

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